

Shopify Inc.

NASDAQ : \$179.16B mkt cap · 1.30B sh · \$5.778B cash, zero debt · Net cash ~\$5.8B, no debt; ~1.30B fully-diluted shares; a \$2B buyback underway;
SHOP · Revenue \$11.56B FY25 (+34%); GAAP op margin 12.7%; FCF ~\$2.0B (~17%); ex-SBC owner FCF is the cash signal (SBC ~4-5%); ~\$108,
Mature- down ~30% YTD off the \$182 high (TTM ~flat); 52-wk \$94-\$182; GMV \$100.7B/+35% in Q1, Payments 67% of GMV
Company DCF

\$137.92

THE CENTRAL QUESTION

Does agentic-AI commerce make Shopify the merchant rails for AI shopping agents, or disintermediate the storefront it sells?

Shopify trades at ~\$140.6B (~\$108.24, down ~30% YTD off the \$182 high) — ~30x forward / ~67x trailing FCF on revenue and GMV growing ~34-35%, net cash ~\$5.8B, FCF ~\$2.0B (~17%). The headline GAAP net loss is a non-cash equity-investment mark; ex-that, earnings are ~\$360M. The bull is durable 30%+ GMV compounding, take-rate expansion (Payments at 67% of GMV), and agentic commerce making Shopify the rails for AI shopping agents; the bear is AI disintermediating the storefront plus macro cyclicalilty on GMV. The weighted DCF lands ~15.1% (~\$92): a great franchise, de-rated but still priced for the win.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$91.88

expected fair value today
-33.4% vs spot \$137.92

FORWARD COMPOUNDED VALUE

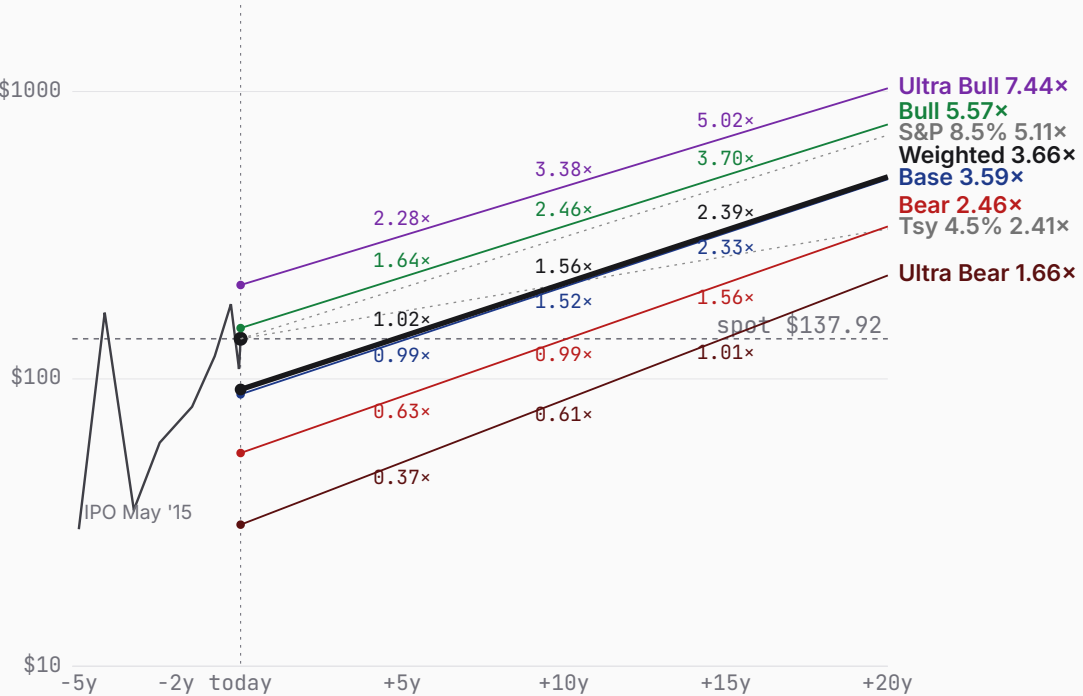
+5y	+10y	+15y	+20y
\$140.52	\$215.06	\$329.38	\$504.83
1.02x spot	1.56x spot	2.39x spot	3.66x spot

WEIGHTING RATIONALE

- Ultra Bear 15%** AI disintermediates the storefront; growth fades; ~\$31 (-71%).
Bear 27% Growth decelerates and the multiple compresses; ~\$55 (-49%).
Base 32% 30%+ GMV grinds to ~\$25B revenue but stays rich; ~\$88 (-18%).
Bull 18% Take-rate + agentic rails compound; ~\$150 (+39%).
Ultra Bull 8% The commerce OS for AI shopping; ~\$212 (+96%).

Bull (18%) + Ultra Bull (8%) together contribute \$44.02 — 48% of the \$91.88 expected value despite 26% combined probability. Today's spot (\$137.92) sits 50% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$31.11	BEAR	\$55.23	BASE	\$88.38	BULL	\$150.26	ULTRA BULL	\$212.20
	-77.4% vs spot		-60.0% vs spot		-35.9% vs spot		+8.9% vs spot		+53.9% vs spot
CAGR +7.2% WACC 10.5% CAGR +7.2% Prob 15%		CAGR +12.5% WACC 9.5% CAGR +12.5% Prob 27%		CAGR +17.5% WACC 9.0% CAGR +17.5% Prob 32%		CAGR +21.4% WACC 8.5% CAGR +21.4% Prob 18%		CAGR +25.9% WACC 8.2% CAGR +25.9% Prob 8%	
AI disintermediates the storefront.		Growth decelerates; multiple compresses.		30%+ GMV grinds to ~\$25B revenue; still rich.		Take-rate + agentic rails compound.		The commerce OS for the AI-shopping era.	

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ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Shopify Inc. scenario narratives

PROBABILITY WEIGHTS

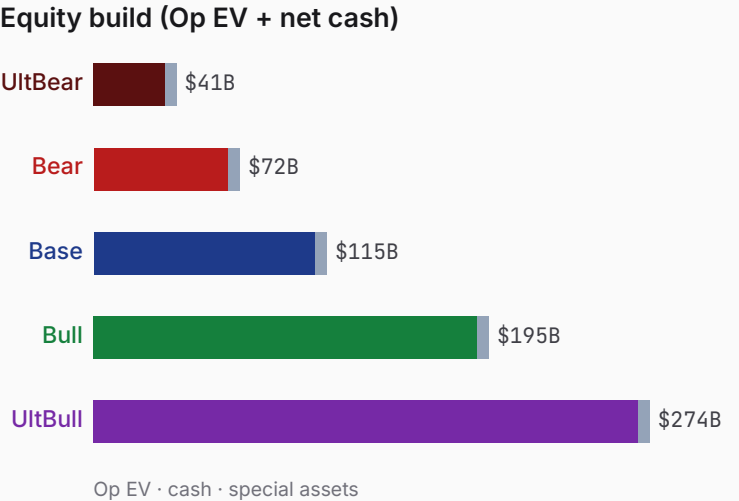
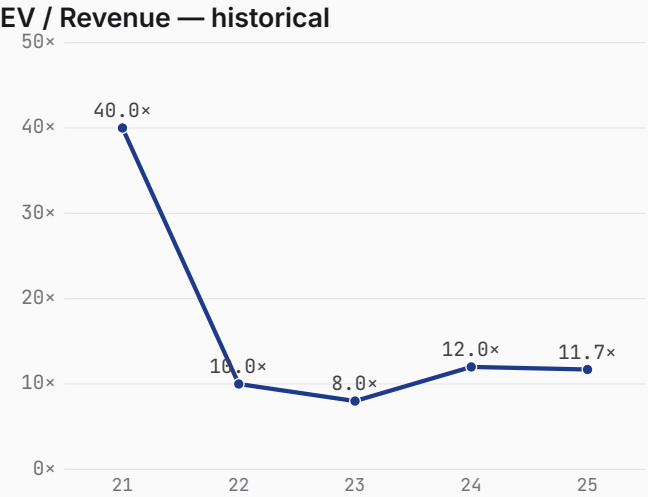
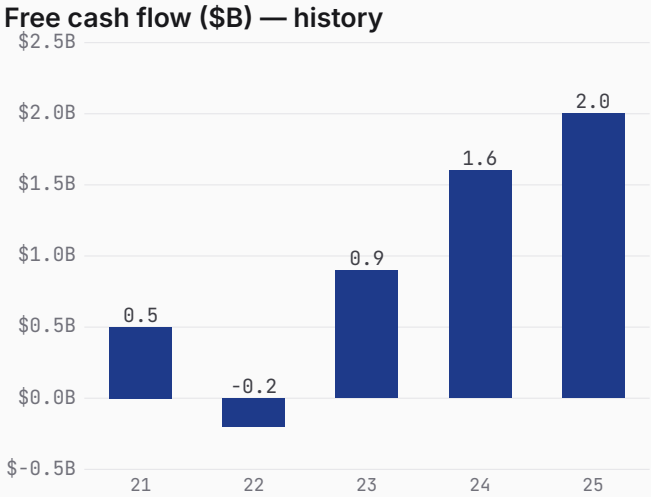
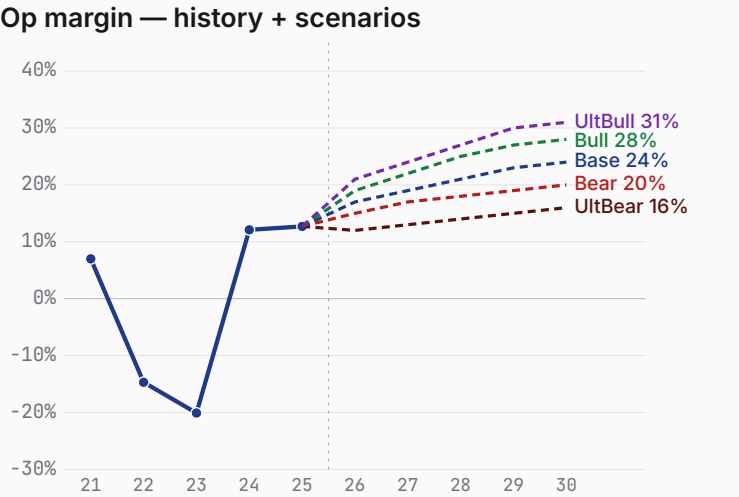
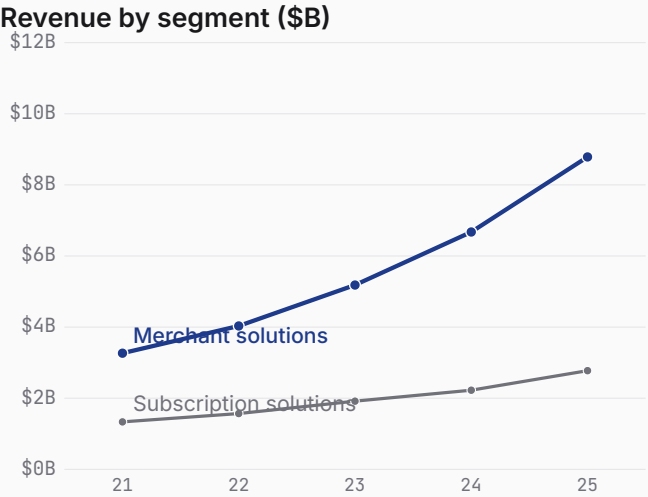
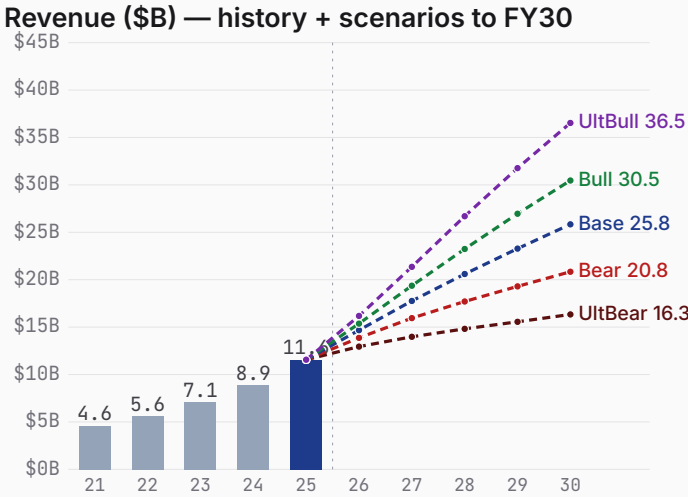
Ultra Bear 15% Bear 27% Base 32% Bull 18% Ultra Bull 8% · Weighted expected \$91.88 (-33.4% vs spot)

ULTRA BEAR	\$31.11	BEAR	\$55.23	BASE	\$88.38	BULL	\$150.26	ULTRA BULL	\$212.20
	-77.4% vs spot		-60.0% vs spot		-35.9% vs spot		+8.9% vs spot		+53.9% vs spot
Probability 15%		Probability 27%		Probability 32%		Probability 18%		Probability 8%	
AI disintermediates the storefront.		Growth decelerates; multiple compresses.		30%+ GMV grinds to ~\$25B revenue; still rich.		Take-rate + agentic rails compound.		The commerce OS for the AI-shopping era.	
WHY 15%		WHY 27%		WHY 32%		WHY 18%		WHY 8%	
The genuine bear, sharpened by the June-2026 software-sector AI-disruption selloff: if agents disintermediate storefronts, the whole premium unwinds. 15% on the swing factor breaking against Shopify.		Deceleration at scale plus multiple compression is the base-rate path for a richly-valued grower. 27% as the plausible 'still grows, but the premium leaks out' outcome.		Requires GMV to keep compounding and FCF margin to inflect on operating leverage — consistent with four straight mid-teens-FCF-margin quarters and the take-rate runway, but not a re-acceleration. 32% as the central, modestly-negative outcome.		Shopify's GMV compounding, take-rate runway, and early agentic-commerce traction make a durable second leg credible. ~18% weight on the swing factor breaking Shopify's way.		Everything works – GMV AND take-rate AND agentic distribution AND a multiple re-rate, the platform-second-act outcome. ~8%, the long-duration tail.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
Agentic commerce routes around the merchant storefront: AI shopping agents transact directly with brands and marketplaces, GMV growth halves toward low-double then mid-single digits, and take-rate gains stall as Shopify becomes a commoditized back-end. A consumer/macro downturn compounds the GMV hit; revenue compounds ~7% as the platform de-rates.		GMV keeps compounding but decelerates faster than the bulls expect as the law of large numbers and a soft consumer bite; take-rate expansion continues (Payments penetration) but operating leverage is gradual. Revenue compounds ~12% to the high-\$20Bs at a ~22% FCF margin — solid, but not enough to support today's multiple.		The modal path: GMV keeps compounding ~20%+ decelerating to mid-teens, Payments penetration and attach (Installments, Tax, Capital) lift take-rate, and operating leverage carries FCF margin toward ~26%. Agentic commerce is a tailwind, not a step-change. Revenue compounds ~17% to ~\$25B.		Durable 30%+ GMV compounding holds: Payments climbs above 67% of GMV, the attach suite (Installments, Tax, Capital, Markets, offline POS) widens take-rate, Plus/enterprise and international keep mix premium, and agentic commerce makes Shopify the default rails for AI shopping agents (AI traffic +8x, AI orders +15x YoY). FCF margin inflects toward ~31% on operating leverage. Revenue compounds ~21% to the low-\$30Bs.		The full second act: Shopify becomes the indispensable merchant infrastructure for the agentic-commerce era — the rails every AI shopping agent transacts through — while Payments, capital-markets, and enterprise penetration push take-rate and FCF margin to ~34%. GMV compounds ~30%+ for longer than the base assumes; revenue compounds ~26% to the mid-\$30Bs.	
A decelerating platform losing its distribution edge earns a compressed ~3.8-4x sales / ~14x FCF terminal → DCF ~\$31 (-71%). Net cash sets a floor, but a richly-priced growth name re-rates hard when the growth and the moat both fade.		DCF ~\$55 (-49%) — a high-quality but maturing platform re-rates toward ~6x sales / ~18x FCF; the market's premium is unwarranted if growth normalizes without an AI-driven second leg.		DCF ~\$88 (-18%) — even durable high-teens growth and FCF inflection only support roughly ~8x sales / ~22x FCF, modestly below today's price. The de-rate corrected some of the excess; the modal case still prices the win, so it lands short of fair.		DCF ~\$150 (+39%) - if take-rate expansion and an AI-distribution second leg both land, the franchise re-rates with the fundamentals; this is the core of the bull.		DCF ~\$212 (+96%) - the platform reclaims and extends a premium compounder multiple; ~8% probability, the asymmetric upside the de-rated entry is buying.	

Shopify Inc. business snapshot

Bear \$55.23 Base \$88.38 Bull \$150.26

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 FY2026 results



Sources: SEC XBRL company facts (CIK 1594805), Shopify Q1 FY2026 release (GMV \$100.7B/+35%, revenue \$31.7B/+34%, GAAP operating income \$382M/+88%, FCF \$476M/15% margin, Shopify Payments 67% of GMV, MRR \$212M/+16%). GAAP net loss reflects a \$1,061M unrealized loss on equity investments; ex-investment net income ~\$360M. FCF = revenue x FCF margin (ex-SBC owner FCF); Gordon terminal at scenario WACC. EV/sales & EV/FCF vs platform peers (AMZN/MELI/SQ/BIGC).

Shopify Inc. 7 Powers · the moat, scored

Bear \$55.23 Base \$88.38 Bull \$150.26

Arena. E-commerce / commerce-platform infrastructure - Shopify (the commerce OS for ~merchants of all sizes, GMV ~\$100B/quarter) vs Amazon (marketplace + logistics), MercadoLibre, Block/Square, BigCommerce, WooCommerce, and the AI-agent commerce layer (ChatGPT/Gemini); auditing a network/switching-cost Power against an AI-distribution threat.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies 	Real R&D/infrastructure leverage at ~\$11.6B revenue and ~\$100B/quarter GMV - payments routing, fraud, fulfillment - spread across the largest non-Amazon merchant base, though Amazon is far larger.
Network Economies · thesis leans here 	The dominant Power: a two-sided merchant + app/partner/developer ecosystem (themes, apps, agencies, Shop app shoppers) where each side makes the platform more valuable to the other - the deepest moat, now tested by AI distribution.
Counter-Positioning 	Was the anti-Amazon 'arm the rebels' positioning; now the incumbent commerce OS, so this is largely spent as a Power.
Switching Costs 	High: a merchant's entire operations - storefront, payments, inventory, apps, customer data, staff training - live on Shopify; ripping it out mid-business is costly and risky, hence ~\$212M MRR with low churn.
Branding 	A genuine brand among entrepreneurs/SMBs (the default 'start a store' choice) and increasingly enterprise via Plus, but brand isn't the primary economic Power here.
Cornered Resource 	The merchant dataset and the Shop app's shopper graph are valuable, but not a truly cornered, exclusive resource.
Process Power 	Strong shipping cadence and platform reliability at scale, plus margin/FCF discipline post-2022-23 cuts (opex -4pp to 37%); real but replicable.

COMPETITIVE READ

Shopify's dominant Power is network economies - a two-sided merchant + app/partner/developer ecosystem reinforced by high switching costs (a merchant's whole operation lives on the platform, ~\$212M MRR at low churn) - and that moat is durable (high). The live threat is the same agentic-AI variable that drives the scenarios: AI shopping agents either transact through Shopify's rails (deepening the network) or route around the storefront (disintermediating it), with AI traffic +8x / orders +15x YoY the early, unresolved signal. That single swing factor - expand-distribution vs disintermediate - is why the bull (+39%) and the ultra-bear (-71%) span such a wide range on the same fact. The Audit: a genuinely strong, durable Power, but priced for the win - the ~30% YTD de-rate to ~30x forward FCF still embeds a premium that the modal case (-18%) doesn't quite support, so the weighted finding lands -15.1%.

PEER SET

Amazon (AMZN) The marketplace + logistics giant; far larger GMV, the structural competitor and the 'own the customer' alternative to Shopify's 'arm the merchant'.	11% gr · 11% mgn · ~12x EV/FCF
MercadoLibre (MELI) LatAm commerce + fintech compounder; the closest 'commerce + payments flywheel' public comp, growing fast at scale.	30% gr · 12% mgn · ~30x EV/FCF
Block / Square (SQ) Payments + commerce for SMBs; overlaps on the merchant payments/lending stack at a lower multiple.	10% gr · 10% mgn · ~14x EV/FCF
BigCommerce (BIGC) Direct SaaS-commerce competitor; far smaller and slower-growing - the value end of the platform comp set.	5% gr · ~1x EV/sales

THREAT VECTORS · FALSIFIERS

Network Economies · AI shopping agents (ChatGPT, Gemini, Google AI Mode, Copilot) falsifier: AI-agent GMV grows but transacts around Shopify's rails - shoppers buy through agents that bypass the merchant storefront, eroding the ecosystem's value.
Switching Costs · An agent-native commerce stack / Amazon's agent rails falsifier: Merchants add a parallel AI-agent sales channel that doesn't depend on Shopify, lowering the cost of running storefront-light.
Scale Economies · Amazon (marketplace + Buy with Prime + logistics) falsifier: Amazon's logistics/agent advantages pull GMV and take-rate share, capping Shopify's monetization runway.

Shopify Inc. show your work

Bear \$55.23 Base \$88.38 Bull \$150.26 · Weighted \$91.88 (-33.4%)

ULTRA BEAR\$31.11					BEAR\$55.23					BASE\$88.38					BULL\$150.26					ULTRA BULL\$212.20				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					+7.2					+12.5					+17.5					+21.4				
Year-5 op margin (%)					16.0					20.0					24.0					28.0				
WACC (%)					10.5					9.5					9.0					8.5				
Terminal growth (%)					3.0					3.5					4.0					4.5				
Terminal FCF (\$B)					\$3.10B					\$4.79B					\$6.72B					\$9.44B				
Starting revenue (\$B)					11.56					11.56					11.56					11.56				
Scenario probability (%)					15					27					32					18				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	12.94	+12%	+1.81	+1.64	FY26	13.87	+15%	+2.50	+2.28	FY26	14.68	+17%	+2.94	+2.69	FY26	15.37	+19%	+3.54	+3.26	FY26	16.18	+21%	+4.04	+3.74
FY27	13.98	+13%	+2.24	+1.83	FY27	15.95	+17%	+3.19	+2.66	FY27	17.76	+19%	+3.91	+3.29	FY27	19.37	+22%	+5.04	+4.28	FY27	21.36	+24%	+5.98	+5.11
FY28	14.82	+14%	+2.52	+1.87	FY28	17.70	+18%	+3.72	+2.83	FY28	20.60	+21%	+4.94	+3.82	FY28	23.24	+25%	+6.51	+5.09	FY28	26.69	+27%	+8.28	+6.53
FY29	15.56	+15%	+2.80	+1.88	FY29	19.29	+19%	+4.25	+2.95	FY29	23.28	+23%	+5.82	+4.12	FY29	26.96	+27%	+8.09	+5.83	FY29	31.77	+30%	+10.48	+7.65
FY30	16.34	+16%	+3.10	+1.88	FY30	20.84	+20%	+4.79	+3.04	FY30	25.84	+24%	+6.72	+4.37	FY30	30.46	+28%	+9.44	+6.28	FY30	36.53	+31%	+12.42	+8.38
Σ PV explicit FCF					+9.10					+13.77					+24.74					+31.40				
+ PV terminal (g 3.0%)					25.88					52.52					164.07					236.56				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$34.98B					\$66.29B					\$188.81B					\$267.96B				
+ Cash & investments					\$5.78B					\$5.78B					\$5.78B					\$5.78B				
= Equity value					\$40.76B					\$72.07B					\$194.59B					\$273.74B				
FY30 shares (M)					1,310					1,305					1,295					1,290				
= Expected per share					\$31.11					\$55.23					\$150.26					\$212.20				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$51.25	\$84.44	\$139.10	\$229.16		\$86.95	\$136.87	\$215.47	\$339.20		\$135.98	\$209.23	\$321.92	\$495.32		\$225.94	\$339.74	\$510.85	\$768.14		\$314.69	\$466.68	\$692.08	\$1,026.34	
0.37×	0.61×	1.01×	1.66×		0.63×	0.99×	1.56×	2.46×		0.99×	1.52×	2.33×	3.59×		1.64×	2.46×	3.70×	5.57×		2.28×	3.38×	5.02×	7.44×	

Shopify Inc. People · Opportunity · Context · Deal

Bear \$55.23 Base \$88.38 Bull \$150.26

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Tobi Lütke · founder-led20 yrs in seat

6.1%insider ownershipHIGHkey-person risk

Capital allocation (realized)
No dividend, no buyback — has never returned capital; cash funds R&D, marketable securities, and equity/merchant-lending investments. The notable observable course-correction: the 2022 ~\$2.1B Deliverr acquisition (its largest ever) was reversed in 2023, selling Shopify Logistics to Flexport for a ~13% Flexport equity stake. SBC ~\$546M in FY2024 (down ~30% YoY).

Incentive alignment
US\$1 salary, no cash bonus; paid in equity grants (~\$20M/yr — FY2023 total comp \$20,000,008 = \$1 cash + ~\$20M equity). Carries the combined title of Chair, CEO, and Head of R&D. Alignment runs through the founder stake rather than fresh cash pay.

GOVERNANCE FLAGS

- dual-class: Class B multiple-voting shares = 10 votes each (~9.5% of equity, ~51% of votes)
- 2022 founder share tops Lütke up to ~40% of votes for life while he serves as director/officer/consultant — holds even if his economic stake falls to ~1.1%
- combined Chair + CEO (also Head of R&D)founder share is non-transferable; sunsets only if Lütke leaves the company

PEOPLE READ

Founder-CEO holding ~6.1% economic but ~40% of the vote via Class B multiple-voting shares plus the 2022 founder share (which floors his voting control near 40% regardless of dilution); \$1 salary, equity-paid, no dividend or buyback, with the 2023 Flexport logistics divestiture as the observable capital-allocation course-correction.

THE FOUR LEGS

Peopleobservable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the -15.1% finding), then position-sized.

Shopify Inc. supporting analysis · disclaimers · glossary

Bear \$55.23 Base \$88.38 Bull \$150.26

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

The de-rate corrected an excess, it didn't create a bargain.
Down ~30% YTD, but ~30x forward / ~67x trailing FCF still prices the win — the modal DCF is ~-18%; the premium on 34% growth is the constraint.
- 2

The GAAP net loss is not the earnings signal.
The ~\$581M Q1 net loss is a \$1,061M non-cash mark on equity investments; ex-that, net income is ~\$360M and FCF was +\$476M — cash-generative.
- 3

Take-rate expansion is the quiet compounder.
Shopify Payments is already 67% of GMV, and attach (Installments, Tax, Capital) lifts revenue per dollar of GMV — monetization is rising.
- 4

Agentic commerce is the same variable for the bull and the bear.
AI traffic +8x and AI orders +15x YoY could make Shopify the merchant rails for AI agents (bull) or route around the storefront (bear) — opposite signs.
- 5

Net cash, p_fail ~0.
~\$5.8B cash, no debt, ~\$2.0B FCF and a \$2B buyback — no solvency risk; the downside is the multiple and the AI-distribution question, not survival.

FALSIFICATION TRIGGERS

Bull validation

GMV growth holds 30%+ for 4+ quarters · take-rate (revenue / GMV) keeps rising as Payments climbs past 67% · AI-agent orders scale into a material GMV channel · FCF margin expands toward 25-30%

Bear validation

GMV growth decelerates below ~15% on a soft consumer · take-rate flattens as Payments penetration tops out · AI agents transact around merchant storefronts (GMV per merchant stalls) · FCF margin stops inflecting

Reframe needed

if agentic commerce demonstrably disintermediates the storefront - AI-agent GMV grows but bypasses Shopify's rails - re-rate the terminal toward a commoditized back-end multiple, not a distribution-moat platform

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

GMV — Gross merchandise volume - the total dollar value of orders processed across all Shopify merchants (~\$100.7B/+35% in Q1); the top-of-funnel volume that take-rate monetizes.

Take-rate — Revenue earned per dollar of GMV; rising as Shopify Payments (67% of GMV) and attached services (Installments, Tax, Capital, Markets) monetize more of each transaction - the quiet compounder.

Merchant vs Subscription solutions — The two segments: Merchant solutions (~76% of revenue, take-rate-driven) and Subscription solutions (recurring SaaS MRR, ~\$212M/+16%); the mix is shifting toward lower-margin Merchant.

Agentic commerce — Transactions initiated by AI shopping agents (ChatGPT, Copilot, Gemini) - the swing factor: it either makes Shopify the merchant rails for AI shopping or disintermediates the storefront.

FCF margin — Free cash flow / revenue (~17% FY25, ex-SBC owner FCF; SBC ~4-5%); the mature-DCF swing factor - whether GMV growth and take-rate expansion convert into expanding free cash flow.